TRADING WITH ICHIMOKU CLOUD INDICATOR

Okay, so now let's talk about some ground rules before going into the strategy. There are only 2 rules that you have to follow.

1. **Look for buying opportunities when the Conversion Line (Blue line) is above the Base Line (Red line) and vice versa for selling.**
2. **Only buy when the price has closed above the cloud and only sell when the price has closed below the cloud.**

The strategy used in the following image is a swing strategy and you can implement this by using a 1-hour or a daily trading timeframe. First of all, let's know how to buy stocks using the Ichimoku Cloud indicator.

Disclaimer: The optimisation of this strategy is to enter into a trade when there is a pullback and the stoploss is placed at the pullback level. Thus, this decreases the chance of price hitting the stoploss